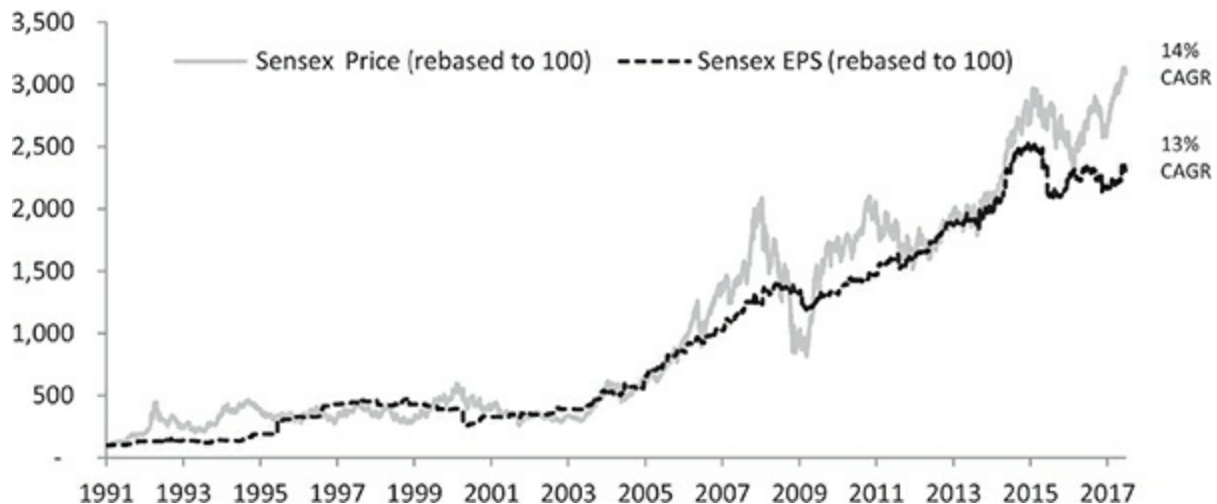


Exhibit 8: Sensex returns have mirrored earnings growth over long periods of time



Source: Ambit Capital, Bloomberg, Ace Equity

Having established earnings as the biggest driver of share prices, the next question to be answered is: *What drives earnings growth?* Intuitively, one might imagine that ‘earnings growth’ is an independent metric—the more products or services you can sell, the more revenues you book and the more profits you deliver!

Rather than considering earnings growth as an independent metric by itself, it is more useful to see earnings growth to be an outcome of two independent parameters—growth in Capital Employed in a business and the firm’s ability to generate a certain Return on the Capital Employed (ROCE). As a result, ‘earnings growth’ can be achieved either by growing capital employed whilst maintaining ROCE, or by growing ROCE through enhanced operating efficiencies whilst maintaining the firm’s capital employed.

On similar lines, Warren Buffett in his 2007 letter to shareholders defined three categories of businesses based on Return on Capital:

High earnings businesses with low capital requirements: The first example refers to a business like See’s Candies, a chain of candy and chocolate stores in California that Mr Buffett owns. These businesses can’t,